

**BEFORE THE
FEDERAL MARITIME COMMISSION**

HANLON SCULPTURE STUDIO,

Complainant,

v.

Docket. No. 18-09-

SAE WorldTrans Logistics f/k/a WorldTrans,

Respondent

**RESPONDENT SAE WorldTrans Logistics USA Inc.'s
REPLY IN SUPPORT OF MOTION TO DISMISS THE
COMPLAINT OF Hanlon Sculpture Studio**

Respondent SAE WorldTrans Logistics (USA) Inc. hereby replies to the Complaint that Hanlon Sculpture Studio has filed and respectfully asks the court to dismiss this complaint with prejudice. The basis for this Motion are set forth in the accompanying legal documentation.

SAE WorldTrans Logistics (USA), Inc is not "formally known as WorldTrans". SAE WorldTrans Logistics (USA), Inc. is a separate entity, with different ownership from WorldTrans Services, Inc., and has their own FMC License #027208N issued May 31, 2018 (see attached) SAE WorldTrans logistics (USA) Inc. is owned by Kenneth Yu.

In the complaint Hanlon asserts that they "engaged the services of (Respondent) to ship a steel sculpture", in or around August 2017. This is impossible, however, as SAE WorldTrans Logistics (USA), Inc. did not even exist in August 2018, SAE WorldTrans Logistics (USA), INC. was created in February of 2018 and therefore could not have had any involvement in the shipment.

Respondent has informed the attorney for Hanlon on several occasions that the real party in interest is WorldTrans Services, Inc., both via email (see attached correspondence from July 27 for example) and verbally.

**BEFORE THE
FEDERAL MARITIME COMMISSION**

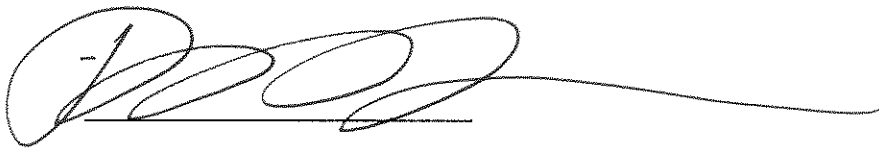
WorldTrans Services Inc. is in business under their own name, having had their own FMC license, Number, 018611N, and a different owner, Daniel Koziol. WorldTrans Services Inc. sold its International business to Kenneth Yu in February 26 of 2018, when SAE WorldTrans Logistics (USA), Inc. was formed. (See attached Articles of Incorporation).

In addition, under the sale agreement for Acquisition of Assets, it is stated under the transfer that the buyer is not accepting or assuming any liabilities of seller in connection with the purchase of the Assets, Kenneth Yu purchased the customers only. (Please note, a full copy of the Acquisition of Assets is attached.)

Therefore, Plaintiff's claim against SAE WorldTrans Logistics (USA) Inc. must be dismissed with prejudice because it is against the wrong party, the proper party is WorldTrans Services Inc.

SAE WorldTrans Logistics (USA) Inc. could not have handled this shipment for Hanlon as they did not exist until February 26, 2018.

Dated this 12th Day of November 2018

A handwritten signature in black ink, appearing to read 'Brenda Rensfield', with a long horizontal line extending to the right.

Brenda Rensfield

SAE WorldTrans Logistics (USA) LLC

7130 Miramar Road

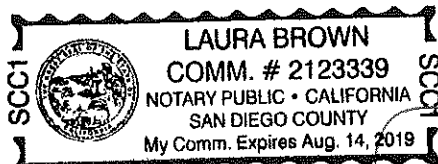
Ste 100A

San Diego, CA 92121

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

State of California
County of San Diego

Subscribed and sworn to (or affirmed) before me on this 12th
day of November, 2018 by Laura
Brenda Kinsfield
proved to me on the basis of satisfactory evidence to be the
person(s) who appeared before me.



(Seal)

Signature

a

Federal Maritime Commission

Washington, D.C. 20573-0001

OCEAN TRANSPORTATION INTERMEDIARY LICENSE NON-VESSEL-OPERATING COMMON CARRIER

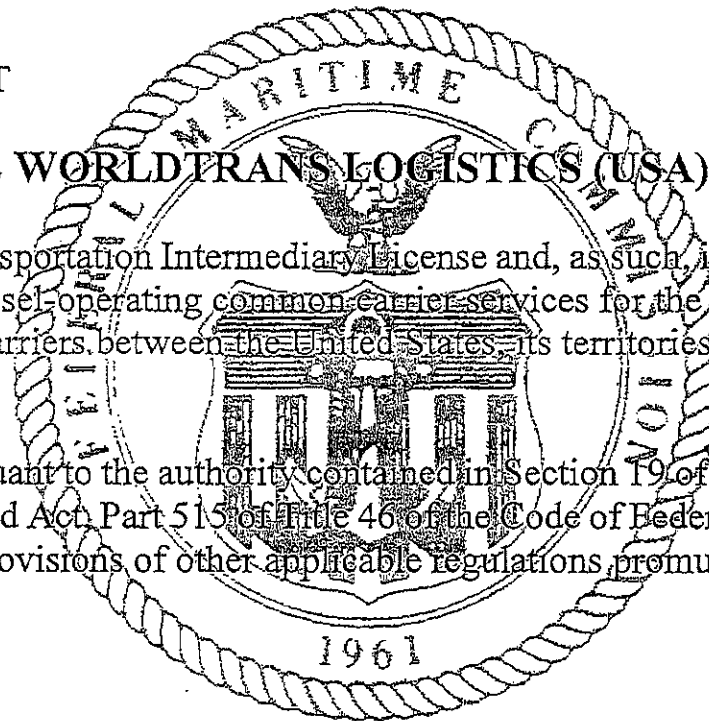
NO. 027208N

THIS IS TO CERTIFY THAT

SAE WORLDTRANS LOGISTICS (USA), INC.

is the holder of an Ocean Transportation Intermediary License and, as such, is duly authorized to carry on the business of providing non-vessel-operating common carrier services for the provision of transportation by water of cargo via common carriers between the United States, its territories or possessions, and foreign countries.

This license is conferred pursuant to the authority contained in Section 19 of the Shipping Act of 1984 and is subject to the provisions of said Act, Part 515 of Title 46 of the Code of Federal Regulations as it is or may be amended, and the pertinent provisions of other applicable regulations promulgated under the foregoing Act.



By authority of the Federal Maritime Commission

Sandra L. Kusumoto

Director

Bureau of Certification and Licensing

Effective: **MAY 31 2018**

Brenda Rensfield

From: Brenda Rensfield
Sent: Friday, July 27, 2018 9:34 AM
To: 'Brian Hanlon'
Cc: Ashley@frontiertw.com; Dave Shlendorf
Subject: RE: HANLON Sculpture 20FT open top Delivery / Bronze Owl / 15 Mini Resin Owl / File # SAE 2223984

Good morning Brian, Dave and Ashley,

As I am sure you are aware, the invoice for this shipment is not paid and we have had no contact from anyone on your side regarding payment.

I have worked with you for a long time and know that last year there were some issues with WorldTrans and the flame sculpture, as well as costs in question, etc. I do not know all the details as the resolution was handled by Dan and Darren, and they did not include me on this.

As of February 26, my team broke off of WorldTrans and have been under new ownership so I am further not privy to any discussions on the above issues. I can only assume at this point that that the outcome was not as agreeable to you as it should have been. If that is the case, it is truly an unfortunate situation as Hanlon has been a close partner for many years. I know I am not only speaking for myself, but also Chuck and the rest of my team, when I say that you will be missed. Hanlon has a great passion for what they do, takes pride in their work and is dedicated to the excellence in honoring the people their work is dedicated to. It is always invigorating to work with companies with these qualities and I would have loved to continue supporting your team.

Regarding the unpaid invoice, please let me know where we are at. If you need more time I am happy to offer that to you. If there was some issue with the charges or how we handled the shipment, please let me know as well. It is not in your character to not respond so I am not sure what other factors are going on, but it would help to have some communication.

I wish you all the best in your future endeavors and again, it has been a pleasure working with you.

Best regards,



SAE WorldTrans Logistics (USA) Inc.

Brenda Rensfield/Station Manager
7130 Miramar Road Ste 100A
San Diego, CA 92121
Dir: 760-484-8177 E-mail: brendar@saewtl.com
Off: 858-225-2150 Fax: 858-536-1237

From: Brian Hanlon [mailto:hanlonstudio@gmail.com]
Sent: Monday, April 16, 2018 11:30 AM
To: Robert Tabakovic <RobertT@saewtl.com>
Cc: Ashley@frontiertw.com; Dave Shlendorf <dts@dtslawfirm.com>; Imports <imports@saewtl.com>; Kirk DuPont

**ARTICLES OF INCORPORATION
OF
SAE WORLDTRANS LOGISTICS (USA), INC.**

ONE: The name of this corporation is SAE WorldTrans Logistics (USA), Inc.

TWO: The purpose of this corporation is to engage in any lawful act or activity for which a corporation may be organized under the General Corporation Law of California, other than the banking business, the trust company business or the practice of a profession permitted to be incorporated by the California Corporations Code.

THREE: The name and address in the State of California of this corporation's initial agent for service of process is:

Sacramento Attorneys' Service

FOUR: The initial street and mailing address of the corporation is:

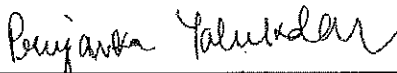
7130 Miramar Road, Suite 100A, San Diego, CA 92121.

FIVE: The total number of shares which this corporation is authorized to issue is One Million (1,000,000) shares, all of which are of one class, are of no par value, and are designated "Common Shares."

SIX: The liability of the directors of this corporation for monetary damages shall be eliminated to the fullest extent permissible under California law.

SEVEN: This corporation is authorized, to the fullest extent permissible under California law, to indemnify its agents (as defined in California Corporations Code Section 317), whether by bylaw, agreement, or otherwise, for breach of duty to this corporation and its shareholders in excess of that expressly permitted by California Corporations Code Section 317, and to advance defense expenses to its agents in connection with such matters as those expenses are incurred. If, after the effective date of this Article, California law is amended in a matter that permits a corporation to limit the monetary or other liability of its directors or to authorize indemnification of, or advancement of those defense expenses to, its directors or other persons, in any such case to a greater extent than is permitted on the effective date of this Article, the references in this Article to "California law" shall to that extent be deemed to refer to California law as so amended. Any repeal or modification of any provision of California law or amendment of this Article shall not adversely affect any right of indemnification or limitation of liability of an agent of this corporation relating to action or omissions prior to that repeal or modification.

Dated: February 21, 2018



Priyanka Talukdar, Incorporator

AGREEMENT FOR ACQUISITION OF ASSETS

February 23, 2018

This AGREEMENT FOR ACQUISITION OF ASSETS (the "Agreement") is entered into as of March 1, 2018, by and among SAE WorldTrans Logistics (USA), Inc., a California corporation ("Buyer") and SAE Global Logistics Ltd ("Parent"), on the one hand, and WorldTrans Services, Inc. a California corporation ("Seller"), on the other, with respect to the following facts:

A. Seller is in the business of providing supply chain logistics and shipping, domestically and internationally. Buyer is in the business of providing supply chain logistics and shipping, internationally. Seller wishes to sell to Buyer that portion of its existing operations that constitutes the international clientele, by assigning to Buyer its customer list of international customers, consisting of roughly 250 international shipping customers ("Customers"). The customer list is referred to herein as the "Assets." Buyer will purchase the Assets, as listed in the attached Exhibit "A", and Seller will authorize Buyer to solicit and sell logistics and shipping services to the Customers.

B. Seller desires to transfer and assign all of its right and interest in and to the Assets to the Buyer, and the Buyer desires to accept the assignment and transfer of the Assets for the consideration described in ¶3 of this Agreement. Buyer and Seller acknowledge that Seller is indebted to Parent, the owner of Buyer, in the approximate sum of \$307,000 for charges for acting as a shipping agent in Asia (the "Trade Debt") and that the consideration payable hereunder for the Assets shall consist partly of credits against the Trade Debt.

NOW, THEREFORE, for good and valuable consideration, the receipt and legal sufficiency of which is hereby acknowledged, the parties hereto covenant and agree as follows:

1. Transfer. Seller hereby agrees to assign and transfer to Buyer all of Seller's right and interest in and to the customer relationships reflected in the customer list, comprising the "Assets".

1.1 Assignment. On the Closing Date (as hereinafter defined), Seller shall deliver an Assignment of its rights in and to the Assets, and an authorization to solicit the provision of logistics and shipping services to the Customers (the "Assignment and Authorization," in the form attached hereto as Exhibit "B"), and Seller will take such additional, commercially reasonable steps as may be desirable to encourage the Customers to place future logistics and shipping business with Buyer. Buyer hereby accepts such assignment and authorization and agrees to take such additional, commercially reasonable steps as may be desirable to encourage the Customers to place future logistics and shipping business with Buyer. Seller shall be responsible for fulfilling existing booked business as of the Closing Date, shall pay all third party charges incurred in fulfilling such business, and shall be entitled to derive any revenue or reimbursement related to all such business booked as of the Closing Date.

2. Assumption of Liabilities. Buyer is not accepting or assuming any liabilities of Seller in connection with the purchase of the Assets.

3. Consideration. In consideration for assignment and authorization of the Assets to Buyer, Buyer shall pay to Seller the purchase price, consisting of THREE HUNDRED SEVEN

THOUSAND DOLLARS (USD\$307,000), plus an override ("Override") in the amount of twenty-five percent (25%) of gross profit (as defined below) on gross bookings by Customers (or affiliates of the Customers) between the Closing Date and twelve full calendar months thereafter ("Purchase Price"), payable as provided herein, as follows:

3.1 Credit to Trade Debt. On the Closing Date, Parent shall issue a non-refundable credit to the Trade Debt in the amount of ONE HUNDRED SEVEN THOUSAND DOLLARS (USD\$107,000) ("Initial Credit") and Buyer shall execute a promissory note in the form attached hereto as Exhibit "C", in favor of Seller, in the amount of TWO HUNDRED THOUSAND DOLLARS (USD\$200,000) ("Note") on the Closing Date. The Note shall not bear interest and shall be payable in two (2) equal installments of ONE HUNDRED THOUSAND DOLLARS (USD\$100,000) each, due on August 31, 2018 and February 28, 2019, respectively.

3.2 Override. For twelve (12) calendar months following the Closing Date, within ten (10) days following the end of each calendar month, Buyer shall compute and pay over to Seller, in cash, the Override for the preceding month. The Override shall be calculated as twenty-five percent (25%) of the Gross Profit on the gross revenues of the logistic and shipping business booked by Customers (or their affiliates) during the relevant month, less rebates and refunds. Gross Profit shall be the gross revenues derived from sales to Customers in the relevant period, less only shipping charges actually paid to external vendors for the specific shippings, net of any rebates, credits or discounts. The Override constitutes additional contingent Purchase Price for the Assets.

4. Allocation of Purchase Price. Allocation of the Purchase Price between the Assets shall be as set forth in Exhibit "D" attached hereto. Buyer and Seller shall comply with the requirements of the Internal Revenue Code with respect to filing Form 8594 entitled "Asset Acquisition Statement under Section 1060."

5. Representations and Warranties of Seller. Seller represents and warrants as follows:

5.1 Organization, Standing and Qualification of Seller. Seller is a corporation duly organized, validly existing, and in good standing under the laws of the State of California and has all necessary power and authority to carry on its business as it is now being conducted and to own its properties and assets (including, but not limited to, the Assets) now owned and operated by it.

5.2 Authority and Consents. Seller has the right, power, legal capacity and authority to enter into and perform its obligations under this Agreement and no approvals or consents of any person or entity other than Seller are necessary in connection with it. The execution and delivery of this Agreement by Seller has been duly authorized by all necessary action of Seller and this Agreement, when executed and delivered, shall constitute a legal, valid and binding obligation of Seller enforceable against it in accordance with its terms.

5.3 Title to Assets. The Assets, consisting of commercial customer relationships, are not subject to assignment as such, but Seller has satisfactory relationships with each Customer and agrees to take such additional, commercially reasonable steps as may be desirable to transfer that relationship and to encourage the Customers to place future logistics and shipping business with Buyer. Except as set forth in Exhibit "E", *Disclosures*, Seller is not in default or in arrears in any material respect with respect to any Customer.

Except as set forth in Exhibit "E", *Disclosures*, Seller has no knowledge of any material adverse event or circumstance affecting the relationship with any Customer.

6. Buyer's Representations and Warranties.

6.1 Organization, Standing and Authority. Buyer is a corporation duly organized, existing and in good standing under the laws of the State of California. The execution and delivery of this Agreement and the consummation of this transaction by Buyer have been duly authorized, and no further corporate authorization is necessary on the part of Buyer.

6.2 Consents. No consent, approval, or authorization of, or declaration, filing, or registration with, any federal or state governmental or regulatory authority is required to be made or obtained by Buyer in connection with the execution, delivery and performance of this Agreement and the consummation of the transactions herewith.

6.3 Buyer Business Experience. Buyer has substantial experience and expertise in the international delivery of logistics and shipping services, and will strive in a commercially-reasonable manner to retain the business relationship with the Customers. Buyer will render expert logistics and shipping services to the Customers. Seller has no knowledge of any material adverse event or circumstance that might affect its ability to render such expert services.

7. Reliance; Termination Right; Effect of Early Termination.

7.1 Reliance. Buyer and Seller acknowledge and agree that Buyer is entering into this Agreement in material reliance on Seller's representations and warranties, but is otherwise relying on its own examination of the records of Seller pertaining to the Customers. Buyer acknowledges and agrees that it has been afforded adequate access to the books and records of Seller, and to the relevant personnel of Seller for purposes of completing its own due diligence regarding the Customers and all other matters regarding the Assets that Buyer deemed relevant or useful in connection with the evaluation of the transaction contemplated hereunder. Buyer represents and warrants that it is a sophisticated operator of businesses similar to the business of Seller and, except as expressly provided herein, that it is buying the Assets materially in reliance its own examination and judgment.

7.2 Termination Right. Nevertheless, Buyer and Seller agree that Buyer shall have the right to terminate this Agreement upon ten (10) days written notice effective as of July 31, 2018 or, if not so terminated, upon ten (10) days written notice as of February 28, 2019 (each a "Termination Date"). Buyer may terminate only in the event that (i) the average monthly gross revenue for the five (5) month period following the Closing Date and ending on July 31, 2018; or (ii) the average monthly gross revenue for the twelve (12) month period following the Closing Date and ending on February 28, 2019, is less than One Hundred Eighty Thousand Dollars (\$180,000).

7.3 Effect of Early Termination. In the event of a termination under Section 7.2, above, all sums paid as Override to the date of such termination, and all credits to the Trade Debt to be issued prior to such Termination Date, shall be deemed non-refundable. The Override that is due on the Termination Date and payable in accordance with Section 3.2 above shall be paid by Buyer to Seller on the 10th day of the second Calendar month following Termination Date. For instance, if the Agreement is terminated on July 31, 2018, then the last

Override payment will be paid by Buyer to Seller on September 10, 2018 and not August 10, 2018. All other future payments or credits that were to be due hereunder will be cancelled and any pending bookings shall be immediately deemed reassigned to Seller, who shall have the right to collect any pending shipping or other charges. All of Buyer's rights, if any, in and to the Assets shall immediately revert to Seller. The termination rights provided in this Section are exclusive. Accordingly, the existence of Buyer's right to terminate this Agreement as provided above shall be deemed to constitute and operate as a waiver of, any other right or remedy that Buyer may be entitled to exercise, whether under this Agreement, under any other contract, under any statute, rule or other applicable legal requirement, as to the physical or economic condition of the Assets, including, without limitation, matters relating to the potential suitability or profitability of the Customers in the future, or the potential future relationships of Buyer with any Customer or potential customer of Seller.

7.4 Covenant Not to Compete. Seller agrees:

(a) In consideration for the execution of this Agreement, for a period of five (5) years from the Closing Date, Seller will not directly or indirectly, on Seller's own account or as an investor in or financier of, or as a consultant, partner, owner or stockholder of any other firm, partnership or corporation, engage in the business of international shipping for customers similar to the Customers.

(b) The foregoing restrictions are reasonable in scope and duration. Seller further acknowledges and agrees that, in the event of a breach or threatened breach of any covenant made in this Section 7.4 (i) a solely monetary remedy would be inadequate and impracticable to quantify, and each such breach would cause Buyer irreparable harm, (ii) in addition to any and all remedies available at law or in equity (including without limitation monetary damages), Buyer shall be entitled to temporary and permanent injunctive relief to enforce the provisions of this Agreement without the necessity of proving actual damages, and (iii) Buyer may pursue any of the remedies described in this Section 7.4 concurrently or consequently in any order as to any breach or violation, and the pursuit of one of such remedies at any time shall not be deemed an election of remedies or waiver of the right to pursue any other remedies.

7.5 Future Referrals. Seller may solicit potential shipper of goods internationally for international shipping business, but shall refer all such business to Buyer, who shall pay to Seller a commission on any such new business at the rate of six percent (6%) of the gross revenues derived from such a referral ("Commission"). Buyer shall pay the Commission to Seller quarterly on the 10th day of each calendar quarter, and shall provide Seller with an accounting of the calculation of the Commission. Seller shall earn Commissions on each new referral only for a period of one (1) year from and after the date of the first booking for such referral.

7.6 Non-Solicitation. Buyer agrees:

(a) In the event of a termination under Section 7.2, above, then from and after the Termination Date until the expiration of two (2) years after the Termination Date, or so long as Seller, its successors, its permitted assigns or any person deriving title to the Assets carries on the business of providing supply chain logistics and shipping internationally, whichever period is shorter, neither Buyer, nor any business entity in which Buyer controls or holds more than a ten percent interest, shall, directly or indirectly, for its own benefit or for the

benefit of another solicit, divert or attempt to solicit or divert any Customer for purposes of providing international supply chain logistics and shipping services.

(b) The foregoing restrictions are reasonable in scope and duration, and that Seller has spent considerable time and effort in developing profitable relationships with the Customers. Buyer further acknowledges and agrees that, in the event of a breach or threatened breach of any covenant made in this Section 7.6 (i) a solely monetary remedy would be inadequate and impracticable to quantify, and each such breach would cause Seller irreparable harm, (ii) in addition to any and all remedies available at law or in equity (including without limitation monetary damages), Seller shall be entitled to temporary and permanent injunctive relief to enforce the provisions of this Agreement without the necessity of proving actual damages, and (iii) Seller may pursue any of the remedies described in this Section 7.6 concurrently or consequently in any order as to any breach or violation, and the pursuit of one of such remedies at any time shall not be deemed an election of remedies or waiver of the right to pursue any other remedies.

8. Seller's Indemnity. Seller shall indemnify, save and hold harmless Buyer, and its respective employees, representatives, officers, directors and agents from and against any and all costs, losses, liabilities, damages, lawsuits, deficiencies, claims and expenses (whether or not arising out of third party claims), including, without limitation, interest, penalties, reasonable attorneys' fees and all amounts paid in investigation, defense or settlement of any of the foregoing (collectively referred to herein as the "Losses"), incurred in connection with or arising out of or resulting from or incident to: (i) any breach of any covenant or warranty, or the inaccuracy of any representation, made by Seller pursuant to this Agreement or in any schedule, certificate, exhibit or other instrument furnished or to be furnished by Seller under or pursuant to this Agreement; (ii) any liability, obligation or commitment of any nature (absolute, accrued, contingent or otherwise) of Seller or its business expressly not assumed by Buyer hereunder; and/or (iii) any claims against Buyer by any other party with respect to the Assets transferred to Buyer under the terms of this Agreement which arise out of or in connection with acts or omissions of Seller prior to the assignment of such Assets to Buyer pursuant to the terms of this Agreement.

9. Buyer's Indemnity. Buyer shall indemnify, save and hold harmless Seller, and its respective employees, representatives, officers, directors and agents from and against any and all Losses, incurred in connection with or arising out of or resulting from or incident to: (i) any breach of any covenant or warranty, or the inaccuracy of any representation, made by Buyer pursuant to this Agreement or in any schedule, certificate, exhibit or other instrument furnished or to be furnished by Seller under or pursuant to this Agreement; (ii) the failure of Buyer to fully satisfy and pay any liability, obligation or commitment of any nature (absolute, accrued, contingent or otherwise) of Seller and/or (iii) any claims against the Buyer by any other party with respect to the Assets transferred to the Buyer under the terms of this Agreement which arise out of or in connection with the Business or the Assets following the assignment of such Assets to Buyer pursuant to the terms of this Agreement.

10. Closing. The obligations of Buyer and Seller under this Agreement are expressly conditioned upon the satisfaction of all the conditions set forth below on or prior to March 1, 2018 (herein the "Closing Date"). Buyer or Seller respectively may waive any or all of these conditions, in whole or in part, to the extent such condition is for the benefit of the waiving party. No such waiver of a condition shall constitute a waiver of any of other rights or remedies, at law or in equity.

10.1 Deliveries by Seller. On Closing Date, Seller shall deliver the following documents to Buyer, against the delivery of the items listed in ¶10.2:

- (a) The Assignment and Authorization for all of the Assets.

10.2 Deliveries by Buyer. On Closing Date, Buyer shall deliver the following documents to Seller, against the delivery of the items listed in ¶10.1:

- (a) The Initial Credit; and
- (b) The Note.

11. Further Assurance; Post-Closing Activities.

11.1 Access to Records. From time to time after the Closing Date, Seller will retain and make available to Buyer any books, records and other data relating to the Assets, and will execute, deliver and acknowledge all such further instruments of transfer and conveyance and to perform all such other acts as Buyer may reasonably request to more effectively transfer the Assets and business of Seller to Buyer and to put Buyer in possession of the Assets.

11.2 Office Facilities. The parties agree that, for a period of one (1) year following the Closing Date, Seller will provide at no cost to Buyer reasonable office and support facilities at Seller's San Diego location. This office support will include rent-free use of office space and furniture, computers, and printers/copiers for up to four (4) of Buyer's personnel. Also included is limited IT support (not to exceed 5 hours per week for the first 3 months, and 2 hours per week thereafter) and limited HR support from the current WorldTrans HR consultant for only initial setup of payroll and benefits packages. Buyer may move from Seller's location at any time during the one year period, provide that Buyer shall be obligated to move to its own offices before the end of the one (1) year period unless the parties agree otherwise. Seller is under no obligation to provide office space or support service for longer than one (1) year.

11.3 Administrative and Sales Staffing. Buyer plans to offer employment to the three (3) members of Seller's international department staff, who upon the Closing Date will be terminated by Seller and hired by Buyer, at comparable compensation and benefits. Buyer plans to hire a new accounts manager to handle accounting for Buyer, but until such a new employee is hired by Buyer, Seller will continue to provide such services; provided that after 90 days following the Closing Date, Buyer will thereafter be charged reimbursement for the provision of such services at the rate of 2% of Buyer's gross revenue, computed and paid monthly on the first day of each month. Seller may decline to provide such services, in Seller's discretion.

11.4 Reporting; Audit Rights. From and after the Closing Date, Buyer shall provide to Seller, with any Override or Commission payment, a monthly report of the logistic and shipping business booked by Customers (or their affiliates) or by any customer referred by Seller that is not a Customer. Seller shall treat all such records and information obtained from the Buyer as confidential and not disclose such records or information to any other person or entity except as required by applicable law. Seller and its representatives may, at its own expense, inspect and copy books and records which relate to the Customers or referrals and

audit Buyer's books, records, and other documents as necessary to verify compliance with the terms and conditions of this Agreement

11.5 Use of name. Buyer acknowledges and agrees that its use of the name "WorldTrans" as a part of its name is permissive, under a non-exclusive, non-transferrable one (1) year license from Seller. Upon the first anniversary of the Closing Date, or upon the earlier termination of this agreement under section 7.2, Buyer's license to use the name shall expire and, absent the future consent of Seller (which it shall have no obligation to grant), Buyer will promptly change its name to omit the "WorldTrans" reference.

12. Miscellaneous Provisions.

12.1 Confidential Information and Publicity. Buyer and Seller agree that all of the terms and provisions of this Agreement are not to be disclosed to any other person except regulatory authorities and authorized representatives of Buyer and Seller. Each party hereto covenants and agrees to maintain in confidence the terms and provisions of this Agreement and all information relating thereto. The parties hereto agree that, upon execution of this Agreement, Buyer, at its discretion, may make a public announcement of this transaction.

12.2 Effect of Headings. The subject headings of the paragraphs and subparagraphs of this Agreement are included for convenience only and shall not affect the construction or interpretation of any of its provisions.

12.3 Entire Agreement; Modification and Waiver. This Agreement and the Exhibits and Schedules referenced herein constitute the entire agreement between the parties pertaining to the subject matter contained in it and supersede all prior and contemporaneous agreements, representations and understandings of the parties. No supplement, modification or amendment of this Agreement shall be binding unless executed in writing by all the parties. No waiver of any of the provisions of this Agreement shall be deemed, or shall constitute a waiver of any other provisions, whether or not similar, nor shall any waiver constitute a continuing waiver. No waiver shall be binding unless executed in writing by the party making the waiver. A default under this Agreement or any of the documents attached as Exhibits and Schedules hereto shall constitute a default of every other agreement executed in connection with this transaction and any right of acceleration or other right accruing as a result of such default under any agreement shall constitute a default under every other agreement.

12.4 Parties-in-Interest. Nothing contained in this Agreement, whether express or implied, is intended to confer any rights or remedies under or by reason of this Agreement on any persons other than the parties to it and their respective successors and assigns, nor is anything in this Agreement intended to relieve or discharge the obligation or liability of any third persons to any party to this Agreement, nor shall any provision give any third persons any right of subrogation or action over or against any party to this Agreement.

12.5 Assignments, Successors and No Third-Party Rights. No party may assign any of its rights or delegate any of its obligations under this Agreement without the prior written consent of the other parties. This Agreement will apply to, be binding in all respects upon and inure to the benefit of the successors and permitted assigns of the parties. Nothing expressed or referred to in this Agreement will be construed to give any person other than the parties to this Agreement any legal or equitable right, remedy or claim under or with respect to

this Agreement or any provision of this Agreement, except such rights as shall inure to a successor or permitted assignee pursuant to this Section 12.5.

12.6 Dispute Resolution; Mediation; Arbitration. Any controversy, dispute or claim arising out of or relating to this Agreement, or the breach thereof, shall first be settled through good faith negotiation. If the dispute cannot be settled through negotiation, the parties agree to attempt in good faith to settle the dispute by mediation administered by JAMS. If the parties are unsuccessful at resolving the dispute through mediation, the parties agree to binding arbitration administered by JAMS pursuant to its Commercial Arbitration Rules & Procedures. Judgment on the Award may be entered in any court having jurisdiction. The arbitration shall take place in San Diego County, California. Buyer and Seller agree that this arbitration procedure will be the exclusive means of redress for any disputes relating to or arising from the sale of the Assets and this Agreement. The parties each expressly waive the right to a jury trial, and agree that the arbitrator's award shall be final and binding on the parties. As restricted by Section 7 above, the arbitrator shall have discretion to award monetary and other damages, or to award no damages, and to fashion any other relief the arbitrator deems appropriate, but only to the extent consistent with law. The parties expressly agree that the arbitrator shall have discretion to award the prevailing party reasonable costs and attorney fees incurred in bringing or defending an action under this Section, to the fullest extent allowed by law at the time of the arbitration.

12.7 Notices. All notices, requests, consents, claims, demands, waivers and other communications hereunder shall be in writing and shall be deemed to have been given (a) when delivered by hand (with written confirmation of receipt); (b) when received by the addressee if sent by a nationally recognized overnight courier (receipt requested); (c) on the date sent by facsimile or e-mail of a PDF document (with confirmation of transmission) if sent during normal business hours of the recipient, and on the next business day if sent after normal business hours of the recipient or (d) on the fourth day after the date mailed, by certified or registered mail, return receipt requested, postage prepaid. Such communications must be sent to the respective parties at the following addresses (or at such other address for a party as shall be specified in a notice given in accordance with this Section 12.7):

To Seller

WorldTrans Services, Inc
7130 Miramar Rd., #100A
San Diego, CA 92121
Fax No. +1 (858) 536-7910
Email: dankoziol@worldtransinc.com

With Copy to:

Sullivan Hill Lewin Rez & Engel, APLC
550 West C Street, 15th Floor
San Diego, CA 92101-3540
Attn.: Joseph L. Marshall, Esq.
Fax No. (619) 231-4372
Email: marshall@sullivanhill.com

To Buyer:

SAE WorldTrans Logistics (USA), Inc.
7130 Miramar Rd., #100A
San Diego, CA 92121
Fax No. +1 (858) 536-7910
Email: Kenneth@shipair.com.hk

and at

Unit 1504-7 Telford House 16 Wang Hoi Road
Kowloon Bay Kowloon Hong Kong
Fax No. (852) 2774 3305

Any party may change its address for purposes of this paragraph by giving the other parties written notice of the new address in the manner set forth above.

12.8 Payment of Expenses and Construction. Each party to this Agreement shall be responsible for, and shall pay, all of its own fees and expenses, including those of its counsel, incurred in the negotiation, preparation and consummation of this Agreement and the transactions described herein. The parties to this Agreement are represented by counsel. This Agreement, and related agreements executed in connection with this Agreement, shall not be construed against any party on the basis that such party or its agents drafted parts of, or the entirety of such documents.

12.9 Survival of Representations. The representations and warranties of the parties contained in this Agreement or in any schedule attached hereto shall survive the consummation of the transactions contemplated hereby, irrespective of any investigation or examination conducted by or on behalf of any party. Such survival shall be for the period of the twelve (12) months following the Closing.

12.10 Severability. If any provision of this Agreement is held invalid or unenforceable by any court of final jurisdiction, it is the intent of the parties that all other provisions of this Agreement be construed to remain fully valid, enforceable and binding on the parties.

12.11 Binding Effect. This Agreement shall bind and inure to the benefit of each party hereto and their respective successors, heirs and assigns.

12.12 Counterparts. This Agreement may be executed simultaneously in one or more counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument. This Agreement may be executed by facsimile, with originals to follow by overnight courier.

12.13 Governing Law. This Agreement shall be construed in accordance with, and governed by, the internal laws of the State of California.

[Signatures Appear on Next Page]

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